



MEMORANDUM

TPA - No. 2013-0109

THE PHILIPPINE STOCK EXCHANGE, INC.

- | | |
|---|--|
| ☒ Trading | ☐ Public Advisory |
| ☐ Disclosure | ☐ Administrative/Technology Matters |
| ☐ Listing | ☐ Others: |

TO : THE INVESTING PUBLIC AND TRADING PARTICIPANTS

DATE : July 29, 2013

SUBJECT : LAUNCHING OF THE UNBUNDLING SYSTEM AND REVISED DEADLINE FOR SUBMISSION OF AMENDMENT AND UNBUNDLING

Please be informed that the PSE Unbundling System will be launched on August 05, 2013. In relation thereto, all aggregated orders done from August 05, 2013 onwards should be unbundled using the said unbundling facility, no unbundling shall be done using the amendment system.

The Securities and Exchange Commission directed the Exchange to amend the deadline for unbundling of aggregated orders and other related rules. Quoted below is the said directive from the Commission:

"RESOLVED, To DIRECT the Philippine Stock Exchange (PSE):

- 1. To amend item 4 of the Implementing Guidelines of its Revised Trading Rules that the unbundling of bundled accounts, whether there is a change in nationality flag or not, should be made not later than 12:00 p.m. of T+1.....*

Finally, kindly amend accordingly the other rules and procedures that will be affected."

Currently, deadline for unbundling of aggregated orders and amendment of account codes are set as follows:

2:00 p.m. of T+1	With impact on nationality
5:00 p.m. of T+1	Without impact on nationality

Upon implementation of the said directive, **deadline for unbundling of aggregated orders and amendment of account codes shall be at 12:00 noon of T+1**, which shall take effect simultaneously with the launch of the system on August 5, 2013.

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Attached are the revised portions of the Implementing Guidelines of the Trading Rules.

For your information and guidance.

(Original Signed)

RACHELLE C. BLANCH

VP & Head, Market Operations Division

Noted by:

(Original Signed)

ROEL A. REFRAN

Chief Operating Officer

CTD / HRAD	MOD / TD	IRD	CMDD / CPIRD	OGC / CGO	COO
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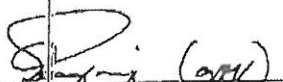


HANS B. SICAT
President & CEO



ROEL A. REFRAN
Chief Operating Officer

SECURITIES AND EXCHANGE COMMISSION



VICENTE GRACIANO P. FELIZMENIO, JR.
Director
Market Regulation Department

XVI. AGGREGATION OF CLIENT ORDERS

1. A TP shall be allowed to open aggregated/bundled accounts for the purpose of aggregating client Orders.
2. A bundled account shall be classified as local or foreign.
3. For purposes of foreign ownership monitoring, when posting an Order of combined local and foreign client Orders, the foreign bundled account shall be used.
4. The TP must report to the Exchange the distribution of Securities traded among its clients no later than 12:00 pm of T+1.
5. No Securities traded shall be left in the bundled account/s after the allowed time period as specified above. Failure to comply with the time period requirement shall be considered as a minor violation of the TP, subject to penalties as stated in Article IX of the Revised Trading Rules.
6. When unbundling the trades, only the following distribution will be allowed:
 - a. From a foreign bundled account to foreign client and local client and/or error account; or
 - b. From a local bundled account to local client and/or error account.
7. Generally, trade unbundling from Client account to Proprietary account is not allowed. However, pursuant to the Revised Trading Rule on Error Transactions, in case a TP does not maintain an Error account the TP may unbundle a trade from client account to proprietary account.

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XVII. TRADE AMENDMENT (See Article IV, Section 14 of the Revised Trading Rules)

1. Amendment of trades shall be made no later than 12:00 pm of T+1 through the facilities of the Exchange and will be subject to the approval of the PSE Market Control Department. Failure to comply with the foregoing shall be considered as a minor violation, subject to penalties as stated in Article IX of the Revised Trading Rules.
2. A Trade amendment fee, in accordance with the schedule of fees prescribed by the Exchange, shall be levied for every contract amended.
3. If approved, a corrected Daily Transaction Report (DTR) can be downloaded through the PSE system. This amended DTR shall replace the old DTR and shall be kept for reference and file by the TP.
4. The Exchange will not allow amendments of unbundled trades from an aggregated account.
5. Partial amendment of trades will not be allowed. However, in the case of trades resulting in error transactions, partial amendment is permitted.
6. Restrictions on trade amendments such as, but not limited to, those listed below shall apply:

	House Foreign/Local	Market Maker	Related Party Local	Related Party Foreign	Error Foreign/Local	Foreign	Tax Exempt Local	Tax Exempt Foreign	Foreign Retail	Local Retail	Foreign Institutional	Local Institutional
House Foreign/Local	X	X	X	OK	OK		X	X	X	X	X	X
Market Maker	X	X	X	X	X		X	X	X	X	X	X
Related Party Local	X	X	OK	X	OK		OK	X	X	OK	X	OK
Related Party Foreign	X	X	X	OK	OK		X	OK	OK	X	OK	X
Error Foreign/Local	X	X	X	X	X		X	X	X	X	X	X
Tax Exempt - Local	OK	X	OK	X	OK		OK	X	X	OK	X	OK
Tax Exempt - Foreign	OK	X	X	OK	OK		X	OK	OK	X	OK	X
Foreign Retail	OK	X	X	OK	OK		OK	X	X	OK	X	OK
Local Retail	OK	X	OK	X	OK		X	OK	OK	X	OK	X
Foreign Institutional	OK	X	X	OK	OK		X	OK	OK	X	OK	X
Local Institutional	OK	X	OK	X	OK		OK	X	X	OK	X	OK

The above matrix is subject to the Guidelines on Trade Amendments, subparagraph no. 8. Flags listed on the vertical row are the original entry.

7. Nationality of Error accounts shall correspond to the nationality of the TP.
8. Generally, trade amendment from Client account to Proprietary account is not allowed. However, pursuant to the Trading Rules on Error Transactions, in case a TP does not maintain an Error account, the TP may amend a trade from Client account to Proprietary account.

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